Q3 2026 Financial Results & Operational Summary

Fiscal Year 2026 Third Quarter Review - Published November 2026 | Financial Planning & Analysis

1. Executive Financial Summary and GAAP Revenue Growth

In the third fiscal quarter of 2026, the company generated consolidated GAAP revenue of $142.8 million, representing a 24.5% year-over-year expansion compared to $114.7 million in Q3 2025. Non-GAAP Gross Margin expanded by 180 basis points to reach 78.4%, driven by operational optimizations in on-premises compute cluster allocation and favorable contract negotiations with domestic hardware vendors. GAAP operating income reached $31.2 million, translating to an operating margin of 21.8%, compared to $22.1 million in the prior-year period. Net income for the quarter reached $26.4 million, with diluted earnings per share (EPS) of $0.58.

2. Subscription ARR and Customer Retention Metrics

Annual Recurring Revenue (ARR) across our core software portfolio closed the quarter at $349.5 million, reflecting an accelerated annualized trajectory. Enterprise tier subscription ARR accounted for $285.4 million (+31% YoY), characterized by an expansion in average contract value (ACV) to $142,000 across Fortune 500 accounts. Net Revenue Retention (NRR) remained robust at 124%, underscoring strong cross-sell velocity for on-prem semantic search modules and air-gapped indexing clusters. The commercial and SMB segment maintained $64.1 million in ARR, with gross monthly churn dropping to a record low of 1.1%.

3. Geographic Revenue Distribution and International Sovereign Deployments

From a regional perspective, the Americas geographic theater generated $88.5 million, accounting for 62% of consolidated top-line revenue and demonstrating 22% year-over-year growth. The Europe, Middle East, and Africa (EMEA) segment delivered $37.1 million, marking a notable 28% year-over-year surge propelled by heightened demand for GDPR-compliant and NIS2-certified air-gapped semantic document processing installations in Frankfurt and Zurich. The Asia-Pacific (APAC) theater contributed $17.2 million (+26% YoY), driven by sovereign deployment mandates in Singapore, Tokyo, and Sydney.

4. Operating Expenditures, R&D Capitalization, and Personnel Allocation

Total operating expenses for Q3 2026 stood at $80.8 million, aligned with our disciplined capital allocation framework. Research and Development (R&D) expenditures totaled $41.3 million, or 28.9% of total revenue, reflecting aggressive investments in quantized tensor compilation, low-latency HNSW vector indices, and specialized parameter optimization for local corporate inference engines. Sales and Marketing (S&M) outlays were held flat at $27.4 million (19.2% of revenue), while General and Administrative (G&A) overhead totaled $12.1 million (8.5% of revenue).

5. Balance Sheet, Capital Expenditures, and Free Cash Flow Generation

Operating cash flow for the quarter was $48.5 million. Capital expenditures (CapEx) totaled $12.1 million, dedicated principally to the acquisition of on-premises NVIDIA H100 and Blackwell B200 accelerated compute blades for internal model evaluation and automated integration benchmarking. Free Cash Flow (FCF) reached $36.4 million, representing a 25.5% FCF margin. The company concluded the quarter with $418.5 million in cash, cash equivalents, and short-term liquid treasury bills, maintaining zero long-term debt and providing substantial balance-sheet flexibility.

6. Fiscal Guidance and Q4 2026 Strategic Targets

For the fourth quarter of fiscal 2026, management projects GAAP revenue between $154.0 million and $158.0 million, representing projected full-year FY2026 revenue of $562.0 million to $566.0 million (+25.8% to +26.7% YoY). Full-year non-GAAP operating margin is guided at 22.0% to 23.5%. The company remains committed to funding domestic compute expansion purely through generated operational cash flows while targeting full air-gapped federal compliance certifications by Q1 2027.